

Morrisons Market Street

Strengthening a distinctive asset for the next phase of grocery retail

INDEPENDENT STRATEGY & OPERATIONS REVIEW

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Morrisons owns the last staffed counter estate in UK grocery, and cannot show which counters work

In March 2025 Morrisons closed 70 Market Street meat and fish counters as “simply uneconomic”. In July 2026 it started reopening them, calling them “part of our DNA... a real differentiator”. Both decisions covered the whole estate, on a question Morrisons’ own CEO says varies store by store. What made the reversal possible was an improvement in “waste yield” that has never been quantified in public. In its own words, the company has said counter viability comes down to the production decision.

Four moves, in sequence. The first three close a loop on counter economics: know what you have and what sold, sell more of it at full value, then recover the rest without pulling colleagues off the counter.

01

Close the two data gaps under every counter decision

Log stock out of the freezer as it is taken, and log production and sales as they happen. Nothing else works without this.

ENDS GUESSING

02

Build a tiered made-to-order Market Street counter

Carved in front of the customer from deli meat. Priced by what goes in it, bundled with hot-counter sides.

FIXES UTILISATION

03

Automate reductions and get counter tasks onto phones

Markdown proposed by system rather than done by hand. Extend the phone-based execution model Morrisons already runs.

RETURNS SELLING HOURS

04

Decide counter format store by store

A published framework covering catchment, footfall and counter yield, reviewed annually.

PREVENTS THE NEXT REVERSAL

Every major competitor has left staffed fresh counters. Morrisons is the only one that went back



INFERENCE

Waitrose held the line. Aldi, Lidl, Co-op and M&S never had counters. That leaves Morrisons as the only mainstream grocer running a staffed fresh-counter estate at scale, and the only one to have publicly re-committed to it. The differentiation is real and nobody is contesting it. The problem is that Morrisons defends it on customer sentiment rather than productivity, which is exactly what will be questioned at the next cost review.

Morrisons closed 70 counters, then reopened them 16 months later. Both decisions covered the whole estate

MARCH 2025 — CLOSE

“The costs of operations are significantly out of line with usage, volumes or the value that customers place on them.”

- 35 meat and 35 fish counters closed
- All 18 Market Kitchens closed
- 52 cafés, 13 florists, 4 pharmacies
- ~365 colleagues placed at risk



JULY 2026 — REOPEN

“Our Market Street counters are part of our DNA. They are at the heart of our offer and a real differentiator for Morrisons.”

- Phased reinstatement, store by store
- Enabled by “improved waste yield”
- Flatbeds and grab-and-go added
- Digital ordering screens on pizza counters

PUBLIC FACT

“Whereas at some stores fresh counters are thriving... many are sad-looking and ignored.” — Rami Baitiéh, Chief Executive

So Morrisons has said on the record that counter performance varies sharply by store, then twice made one decision for the whole estate. The closure went too wide. The reversal rests on sentiment rather than evidence. Behind both sits the same absence: no published measure of what a counter actually yields. That is what this review is about. Not whether Market Street should exist, but how Morrisons decides where and how it should.

This review started on the counter. What follows are observations, treated as hypotheses to test

I work on Market Street in Glasgow, around the deli and food-to-go, alongside an Economics degree. This case study came out of that. It pairs what I have seen on the counter with public company and industry research. It uses no confidential Morrisons information and describes no internal system.

FIRST-HAND OBSERVATION

Production is decided by judgement

How much to make is set mostly by colleague experience, without a clear view of what sold the day before.

FIRST-HAND OBSERVATION

Back-of-house stock is hard to see

Bulk ingredient stock behind the counter is hard to keep track of, because it is not a scannable retail item.

FIRST-HAND OBSERVATION

Customers state the demand out loud

Customers buying deli meat sometimes say, without being asked, that it is for a sandwich. The store's own packaged sandwiches contain none of that meat.

HYPOTHESIS

If production is not tied to demand, yield and waste change with who is on shift.

HYPOTHESIS

Stock-outs and excess inventory can coexist in the same department.

HYPOTHESIS

There may be demand for a fresh assembled product the store already holds every input for.

The observations reduce to one decision no system supports: how much to produce today

THE COUNTER PRODUCTION DECISION

How much to make, today, in this store

Yield and availability

This fails in both directions. Too much becomes markdown, then waste. Too little empties the counter before closing and the sale is gone.

Morrisons states counter reinstatement was enabled by improved waste yield; £2.1bn of UK grocery sales is at risk annually from stock gaps

Counter utilisation

A counter staffed all day but busy only in short windows has fixed labour against thin volume.

The stated reason for the 2025 closures was cost against usage and volume

Colleague hours

Manual planning, hunting for stock and doing reductions use the same hours that produce and serve. Time off the counter is production that never happens.

Labour is the binding cost: National Living Wage rises to £12.71 from April 2026

This is why the analysis does not open with a product idea. The same decision sits under the waste question, the availability question, the productivity question and the format question. Today it is made without a record of what is in stock or what sold yesterday. Fix that first and everything after it becomes measurable.

Counter waste tonnage is small. The cost of managing unsold food is close to the whole profit line



INFERENCE

Call this “reduce food waste” and the right answer is that the tonnage is trivial and Morrisons already has a credible programme. Call it “get the production decision right” and it reads differently, because that decision fails both ways. Too much drives markdown depth and the 1.8% cost of handling unsold food. Too little empties the counter, and stock gaps put a further £2.1bn of UK grocery sales a year at risk. Waste is the symptom you can see. The production decision is what moves it, and today it is made without a record of what sold.

MORRISONS, JULY 2026

Reopened counters after it “improved the waste yield from its counters... making them more efficient to run”.

SAINSBURY’S, NOVEMBER 2020

Cited reduced food waste among the benefits of closing all 420 counters, inside £60m of operating cost savings.

ECR / EINDHOVEN, PEER-REVIEWED

Batch size relative to daily demand and shelf life explains 42% of the variation in fresh waste percentage.

Morrisons’ technology decides what to order and what is missing from shelf. It stops at the counter

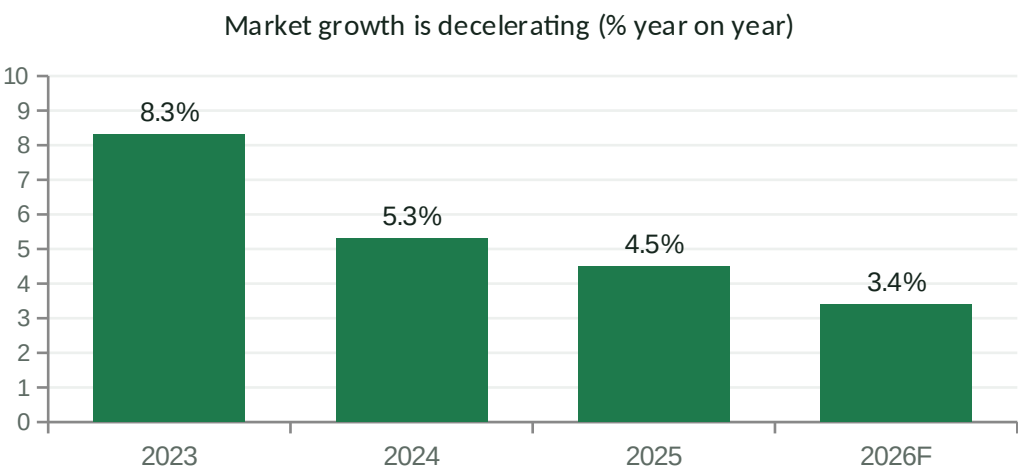


INFERENCE

Morrisons is not behind on technology, so any recommendation that starts “Morrisons needs to digitise” dies on contact. The narrower claim holds up: heavy investment in retail SKU ordering, shelf monitoring, task management and surplus, and nothing published that tracks bulk ingredient stock behind the counter or records what was produced and sold there. Those are the two decisions a counter makes every day, and the two with no system behind them.

The two decisions a counter makes daily

Food-to-go growth is now quality-led, and Morrisons rents that occasion to third parties on space it owns



Quality is the fastest-rising reason people choose an outlet

+2.3ppt year on year, ahead of price

Growth comes from spend per visit, not more customers

Premium meal-deal tiers now trade at £6-£10+

Retailers must evolve beyond the standard meal deal

IGD names front-of-store execution and occasion expansion

PUBLIC FACT

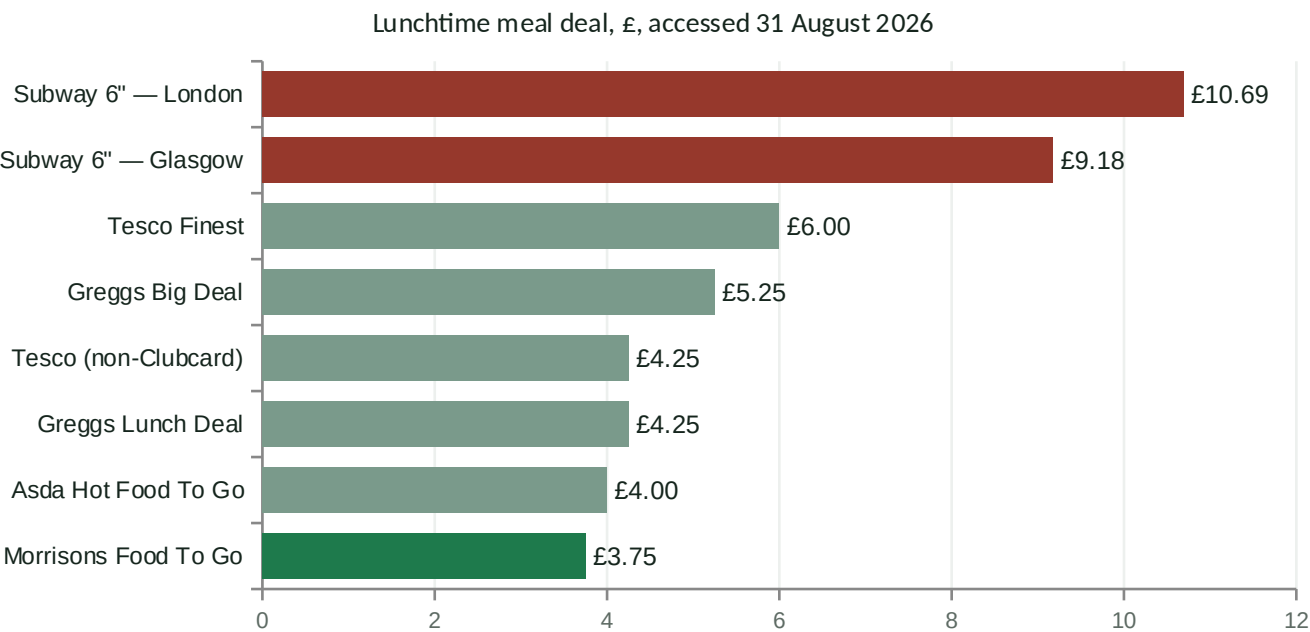
Third parties are filling the space Morrisons vacated

- KellyDeli “Happy Tokyo” sushi counters, a dozen-plus stores, filling space vacated by the counter and Market Kitchen closures
- Burger Boi: first concession in Manchester, positioned as “more contemporary food options... following café closures”
- Hana Group Asian hot food (trial); Holland & Barrett and Wilko concessions

The strategic question this raises

Morrisons pays specialists to pull food-to-go footfall onto its own floor, in its own catchment. Conceding makes sense where a partner’s brand beats Morrisons’ own. It makes much less sense in fresh craft, the thing Morrisons has just called “our DNA”. No published logic separates the two.

Greggs at £4.25 and Asda’s new £4 hot counter are the competition. Not Subway at £9, and not the £1.70 sandwich in the chiller



Made-to-order already sits at a £5 premium

A Subway six-inch meal deal runs £9.18 to £10.69 against Morrisons’ £3.75. Knock off a delivery mark-up and the gap is still wide.

But Subway is the wrong benchmark

Morrisons already undercuts Subway by more than two to one without a counter. Greggs and Asda are who it would actually take share from.

And a rival moved into the gap three weeks ago

Asda launched a £4 hot counter meal deal on 7 August 2026: main, side and dip, from the rotisserie counters, participating stores nationwide.

“The Subway price” does not exist

Four branches, two of them in Glasgow five miles apart, span £1.51 on the same six-inch deal. That is 16% between franchisees.

INFERENCE

This sets up a trade-off rather than settling one. Price at £5 to £6 to carry made-to-order labour and a Market Street sandwich sits above Greggs’ Big Deal and beside Tesco Finest, so it has to win on proposition. Price at £4 to £4.50 to sit near Asda and it lands within 75p of Morrisons’ own meal deal, which makes cannibalisation the whole question. The freshness advantage is real, but it is over the £3.00 packaged BLT and over Greggs. Subway is made to order too.

Morrisons closed one made-to-order format and launched another three months later. The difference is the lesson

CLOSED — MARCH 2025

Market Kitchen

2019–2025 · 18 in-store sites plus standalone high-street stores

- Dedicated kitchens with chefs, a new fixed cost
- Eight branded stations, many recipes
- Traded across all dayparts
- Synchronous service: the customer waits
- Its own app plus Deliveroo integration

Closed because costs “significantly exceeded usage, volumes or the value that customers place on them”.

LAUNCHED NATIONWIDE — JUNE 2025

Market Street Pizza Counter

Ongoing · digital ordering screens extended in July 2026

- No new kitchen, just the existing counter and colleagues
- One category, build-your-own within it
- Focused daypart
- Asynchronous: order on screen, shop, collect
- £5–£6 a unit; two-pizza meal deal at £10

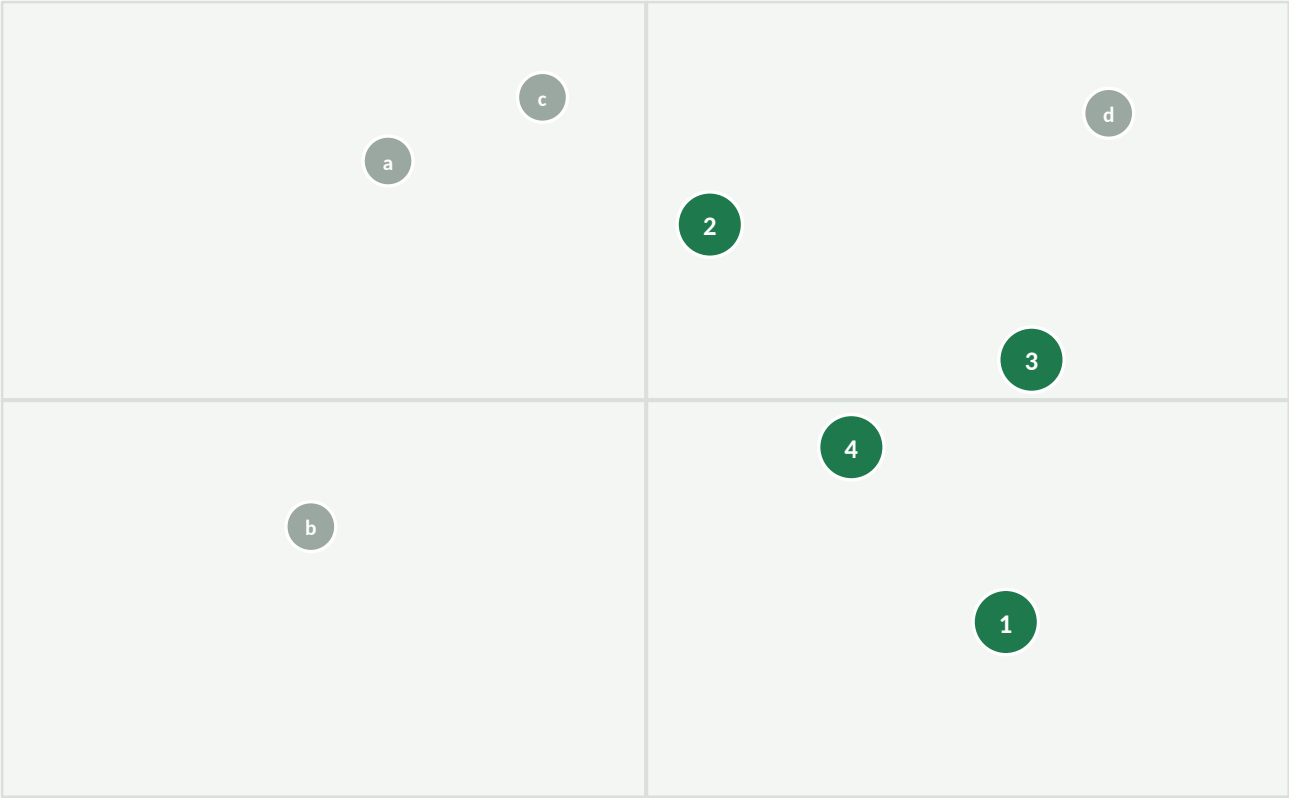
Morrisons kept made-to-order. It narrowed it to a model a store can actually staff.

THE TRANSFERABLE PATTERN

No new fixed cost. One category at a time. A focused daypart. Digital ordering, so the customer shops while it is made and the lunchtime labour spike never forms. And a price customers accept because they can watch it happen. Anything built next should copy this, not Market Kitchen.

Thirteen interventions considered. Five screened out because Morrisons already solves them

↑ COMMERCIAL POTENTIAL



FEASIBILITY →

TAKEN FORWARD

- 1 Stock and production data capture at the counter
- 2 Tiered made-to-order Market Street counter
- 3 Automated reductions and counter tasks on phones
- 4 Store-level counter format framework

CONSIDERED, NOT PRIORITISED

- a Replace counters wholesale with concessions
- b Extend counter range and premium tiers
- c Target counter offers through More Card
- d Publish a counter yield metric (folded into 1)

SCREENED OUT — ALREADY SOLVED

- Digital food safety and checks: already in ~500 stores and 70,000 colleagues
- Ordering and replenishment: Blue Yonder across the estate since 2016
- Shelf availability monitoring: Focal Systems already in place
- Surplus redistribution: Too Good To Go, 800+ tonnes in 2024
- Substitution lookup: too small to matter, since substitutes already resolve most availability failures

Close the two data gaps under every counter decision: what is left in the freezer, and what was made and sold

RECOMMENDATION

Two captures, both taken where the colleague is already standing. First, scan a box out of the freezer as it is opened. That gives a running count without anyone walking the freezers, and a weekly consumption rate to order against. Second, log production and sales digitally rather than on paper, so tomorrow's plan comes from yesterday's demand instead of from memory.

WHY IT HOLDS

- The two decisions a counter makes daily, and neither has a system behind it
- Batch size against demand and shelf life explains 42% of fresh waste variance (peer-reviewed)
- Everything later in this pack depends on this data existing, including the format framework
- Once consumption is known, ordering can run automatically instead of by hand, removing both the errand and the error

WHAT CHANGES OPERATIONALLY

- Ordering moves from reactive to consumption-based, then automatic, using the engine already placing 13m retail orders a day
- Freezers run leaner and stock can be found across several units
- Production plans get corrected against what actually sold, up as well as down
- A counter yield metric exists for the first time and can be reported

WHAT COULD GO WRONG

- Logging discipline is the whole risk. If boxes go unscanned the count drifts and nobody trusts it
- It has to take seconds. Anything longer will not survive a busy shift
- Needs a weekly physical reconciliation to catch drift
- Build, buy or extend is still open. RELEX and Cybake sell this, but neither names a UK grocery counter customer publicly

HOW MORRISONS WOULD TEST IT

Three stores of differing catchment and counter performance, one trading quarter, against three matched controls. Baseline a physical freezer count first, then measure how far the running count drifts from it.

WHAT TO MEASURE

Stock-record accuracy against physical count · scan compliance rate · boxes held in freezer · order frequency and size · counter stock-outs and end-of-day availability · production plan accuracy against actual sales · waste yield and markdown · colleague time spent locating stock

Build a tiered made-to-order counter from Market Street ingredients, carved in front of the customer

RECOMMENDATION

A tiered build priced by what goes in it: one meat, two meats, add cheese, add salad. Carved to order from the deli joint rather than assembled from pre-packed, on bread baked in store. Bundled as a Market Street meal deal with hot-counter sides instead of crisps. No new kitchen, no new supply chain, no new skill, because colleagues already work across all of these counters.

WHY IT HOLDS

- Every input and every skill is already in the building and already scheduled
- Answers Market Kitchen head on. That was a restaurant. This is an assembly counter
- Quality is the fastest-rising reason customers choose an outlet (+2.3ppt YoY)
- Meat carved to order is the one thing no packaged competitor can copy
- Real price headroom: made-to-order trades at £9+ on the high street against a £3.75 meal deal

WHAT CHANGES OPERATIONALLY

- Tiered pricing by build, so the customer chooses the price point
- Digital ordering screens: order on arrival, shop, collect on the way out
- Pre-build through the 12 to 2 peak, made to order either side of it
- Breakfast fills the 8 to 11 window when counters sit near-idle
- Allergen handling designed in; launch targeted through More Card at known deli buyers

WHAT COULD GO WRONG

- It cannibalises packaged food-to-go if it recruits the wrong customer
- Throughput and queueing at peak, which is why counters were closed before
- Allergen risk is materially higher on made-to-order than on packaged
- No credible UK evidence on willingness to pay a premium over pre-packed
- Asda launched a £4 hot counter meal deal in August 2026, so a direct peer is already here

HOW MORRISONS WOULD TEST IT

Three stores with contrasting catchments, one quarter. Price-test the tier ladder rather than assuming it, because the gap between tiers is the commercial question. Measure which customer switched, not just the sale made. Cannibalisation is the number that decides this.

WHAT TO MEASURE

Units and sales per day, and mix across tiers · basket value of transactions containing a made-to-order item vs control · source of switching · repeat purchase · service and wait time at peak · counter markdown displaced · colleague hours per unit · customer satisfaction

Automate reductions and move counter tasks onto phones. A markdown round costs sales, not just hours

RECOMMENDATION

Two linked moves. Adopt markdown optimisation on the supermarket estate, so reductions are proposed by system and confirmed by the colleague rather than done by hand under time pressure. Then extend the phone-based execution model Morrisons already runs across ~500 stores to cover counter production, stock logging and markdown, so the handheld fleet shrinks instead of growing.

WHY IT HOLDS

- A markdown round pulls a colleague off the counter for hours. Production stops, the sale goes, and the cost lands on the sales line
- Morrisons has approved markdown technology for its franchise convenience estate but nothing equivalent runs on the supermarkets
- M&S has run markdown optimisation with the same class of vendor since 2021 and renewed it
- Morrisons already runs store execution on colleague personal devices, at scale, with voluntary opt-in

WHAT CHANGES OPERATIONALLY

- Reductions proposed by system on shelf life and residual demand; colleague confirms
- Markdown timing and depth become consistent between stores and shifts
- Counter production, stock logging and markdown routed to whoever owns them, with alerts configured in the existing platform rather than a new tool
- The handheld fleet shrinks as phone coverage widens, so fewer devices to buy, break and share

WHAT COULD GO WRONG

- Moving pricing decisions into a system is a controls and governance change, not just a new tool
- Nobody can be made to use their own phone, so some shared devices always remain. The fleet shrinks, it does not go
- Statutory food-safety records must stay auditable in the system of record; alerting must not route them into email or chat
- Whether counter tasks are already in scope of the existing rollout is not public

HOW MORRISONS WOULD TEST IT

Run in the same three stores as Recommendation 1 so the production, stock and markdown effects can be read together rather than confounded. Baseline colleague hours and counter cover by time-and-motion before switching anything on.

WHAT TO MEASURE

Counter hours lost to markdown rounds · production volume and sales during markdown windows · markdown recovery rate and sell-through · consistency of markdown timing between stores · handheld devices required per store · BYOD opt-in rate · task completion and on-time rate

Decide counter format store by store, on criteria Morrisons publishes and reviews

RECOMMENDATION

A counter format framework applied store by store: full service, hybrid service with grab-and-go, or concession. Scored on catchment and demographic, footfall profile, measured counter yield, local competition and whether the craft skill is available. Reviewed every year rather than decided once.

WHY IT HOLDS

- Morrisons' own CEO describes counter performance as varying sharply store by store
- Two estate-wide decisions in sixteen months, in opposite directions, cost money both times
- Fresh performance is driven by store-specific demand-to-batch ratios
- It turns Market Street from a sentiment argument into a productivity one

WHAT CHANGES OPERATIONALLY

- Format becomes a reviewed decision with an owner, not a one-off capital event
- Requires the counter yield metric from Recommendation 1 to exist first
- Concession decisions get a rule. Never concede fresh craft. Concede where a partner's brand beats ours
- Craft skill supply becomes a planned input, not an afterthought

WHAT COULD GO WRONG

- A framework is only as good as the yield data behind it, and that does not exist yet
- Store-level differentiation adds operational complexity and range fragmentation
- Risks reading as a justification for further closures if published badly
- Skilled butchers are leaving through attrition faster than they are replaced

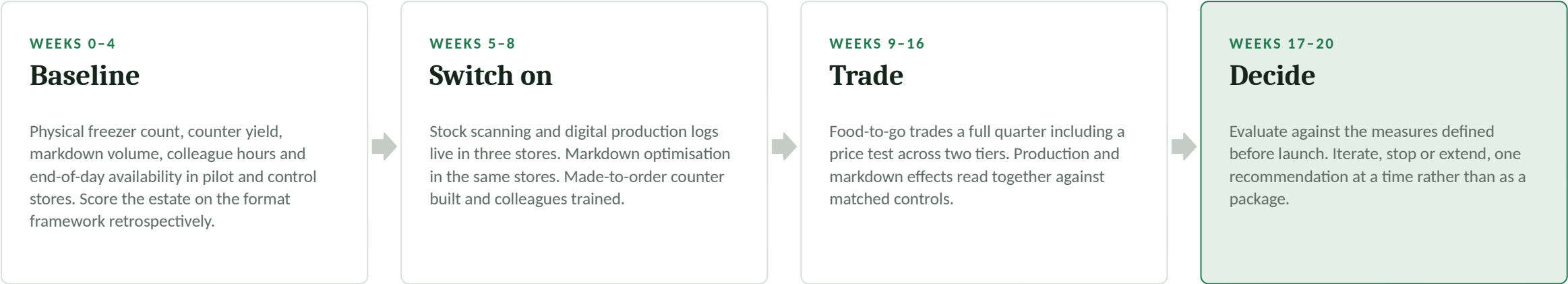
HOW MORRISONS WOULD TEST IT

Retrospective first: score the 70 stores that lost counters and the stores that kept them against the framework, and test whether it would have predicted which closures were later reversed. That is a validation Morrisons can run on data it already holds.

WHAT TO MEASURE

Predictive accuracy against the 2025 closure and 2026 reinstatement decisions · counter yield dispersion across the estate · sales and footfall change by format · customer satisfaction by format · craft skill availability by region

Every recommendation is testable in three stores within one trading quarter, on data Morrisons holds



DESIGN PRINCIPLES THAT MAKE THE RESULT READABLE

Matched controls

Three control stores paired on catchment, size and counter performance. Without them a trading quarter proves nothing.

Success defined first

Thresholds written down before launch. Set the bar afterwards and a pilot always looks like it worked.

Measure the switch, not the sale

For food-to-go, cannibalisation decides it. Track what the customer would have bought instead.

Decide separately

Four recommendations, four separate decisions. Bundle them and one weak result kills three good ones.

Source: Analysis. Pilot design reflects the standard of evidence required to change a decision that has already been reversed once.

Four questions decide whether this analysis is right, and none can be answered from outside Morrisons

INTERNAL VALIDATION REQUIRED

What does a counter actually yield?

No UK retailer publishes counter or service-department waste rates. Morrisons reports a food waste reduction with no denominator. Tesco publishes tonnage and percentage of food handled.

Counter waste yield, markdown and sales by store

INTERNAL VALIDATION REQUIRED

What is counter labour productivity?

Nothing is published on counter utilisation, transactions per counter hour or service-department labour productivity anywhere in UK grocery. The biggest gap in the pack.

Counter hours, transactions and throughput by daypart

INTERNAL VALIDATION REQUIRED

Why did Market Kitchen actually fail?

There is no public post-mortem. Traffic, labour, capex payback or format, nobody outside knows. It is also the closest precedent to Recommendation 2.

The internal Market Kitchen closure review

INTERNAL VALIDATION REQUIRED

Will customers pay for made-to-order?

No credible UK data puts a number on willingness to pay over pre-packed. Nearby evidence supports a quality-led play but will not price it.

A live price test; More Card purchase histories

WHAT WOULD CHANGE THE CONCLUSION

If counter yield turns out to be good everywhere, Recommendation 1 is unnecessary and the estate just needs more counters. If it is poor everywhere, the format question outranks the rest and Recommendation 4 goes first. If a price test shows no premium over pre-packed, drop Recommendation 2 rather than re-scope it. And the honest answer is that Morrisons’ own Market Kitchen review would probably settle that faster than a new pilot.

Start with the measurement, because every other decision depends on it

NOW

Measure

Set a counter yield metric and baseline it across the estate. No capital, no vendor, no change in store. It also closes the disclosure gap against Tesco.

NEXT QUARTER

Pilot

Stock logging, production planning and markdown optimisation in three stores against matched controls. Food-to-go built and trading in three contrasting catchments.

ON THE RESULT

Decide format

Apply the format framework across the estate using real yield data. Test it backwards against the 2025 closures and the 2026 reversal.

Market Street is the only staffed fresh-counter estate left in mainstream UK grocery, and Morrisons has now said twice that it matters. Whether to keep it is settled. Whether Morrisons can show, store by store, that it works is not, and today it cannot.